

Discussion of "Sovereign Default in a Monetary Union"

Sergio de Ferra and Federica Romei

Discussed by

Clodomiro Ferreira

Bank of Spain

12th Nordic Summer Symposium in Macroeconomics

Solstrand, August 9th – 12th 2018

Disclaimers

- 1 The views expressed here are my own, and do not represent those of the Bank of Spain or the Euro-system
- 2 I'm from Argentina

Disclaimers

- 1 The views expressed here are my own, and do not represent those of the Bank of Spain or the Euro-system
- 2 I'm from Argentina

Disclaimers

- 1 The views expressed here are my own, and do not represent those of the Bank of Spain or the Euro-system
- 2 I'm from Argentina

Summary

- **Key Results:** Given different business cycles **within** a MU:
 - ① Non-neutral monetary policy **increases the incentives to default**, though the **ZLB puts limits** on this
 - ② Debtor and creditor countries have **different preferences** for expansionary MP, though these can **get closer** when there is **risk of strategic default**

Nicely illustrated through the behaviour of **debt thresholds**:

$$\bar{b} \implies \bar{b}(p_T) \implies \bar{b}(p^*)$$

- **Key ingredients & Mechanism**
 - ① Heterogeneous countries in a MU
 - ② Incomplete markets + lack of assets
 - ③ Nominal rigidities

Summary

- **Key Results:** Given different business cycles **within** a MU:
 - ① Non-neutral monetary policy **increases the incentives to default**, though the **ZLB puts limits** on this
 - ② Debtor and creditor countries have **different preferences** for expansionary MP, though these can **get closer** when there is **risk of strategic default**

Nicely illustrated through the behaviour of **debt thresholds**:

$$\bar{b} \implies \bar{b}(p_T) \implies \bar{b}(p^*)$$

- **Key ingredients & Mechanism**
 - ① Heterogeneous countries in a MU
 - ② Incomplete markets + lack of assets
 - ③ Nominal rigidities

Summary

- **Key Results:** Given different business cycles **within** a MU:
 - ① Non-neutral monetary policy **increases the incentives to default**, though the **ZLB puts limits** on this
 - ② Debtor and creditor countries have **different preferences** for expansionary MP, though these can **get closer** when there is **risk of strategic default**

Nicely illustrated through the behaviour of **debt thresholds**:

$$\bar{b} \implies \bar{b}(p_T) \implies \bar{b}(p^*)$$

- **Key ingredients & Mechanism**
 - ① Heterogeneous countries in a MU
 - ② Incomplete markets + lack of assets
 - ③ Nominal rigidities

Heterogeneous preferences and MP: Data?

- 1 Estimate, for each EMU country, the interest rate $\{i_t\}$ implied by a simple Taylor rule before 2009

$$i_t^{\text{implied}} = \alpha_0 i_{t-1} + \alpha_1 \tilde{\pi}_{t-1} + \alpha_2 \tilde{y}_{t-1} + \epsilon_t \quad (2.1)$$

where α_1, α_2 could be the "standard" used in the literature, or estimated for the EMU

- 2 Construct the difference

$$\hat{i}_t = i_t - i_t^{\text{implied}} \quad (2.2)$$

- 3 Estimate the following relation in a panel set-up using data for all EMU countries during and after the crisis

$$\begin{aligned} \Delta y_{c,t} &= \alpha_c + \beta \hat{i}_t + u_{c,t} \\ \hat{i}_t &= \alpha_c + \gamma \text{spr}_{i,t-1} + v_{c,t} \end{aligned}$$

Heterogeneous preferences and MP: Data?

- 1 Estimate, fr each EMU country, the interest rate $\{i_t\}$ implied by a simple Taylor rule before 2009

$$i_t^{\text{implied}} = \alpha_0 i_{t-1} + \alpha_1 \tilde{\pi}_{t-1} + \alpha_2 \tilde{y}_{t-1} + \epsilon_t \quad (2.1)$$

where α_1, α_2 could be the "standard" used in the literature, or estimated for the EMU

- 2 Construct the difference

$$\hat{i}_t = i_t - i_t^{\text{implied}} \quad (2.2)$$

- 3 Estimate the following relation in a panel set-up using data for all EMU countries during and after the crisis

$$\begin{aligned} \Delta y_{c,t} &= \alpha_c + \beta \hat{i}_t + u_{c,t} \\ \hat{i}_t &= \alpha_c + \gamma \text{spr}_{i,t-1} + v_{c,t} \end{aligned}$$

Heterogeneous preferences and MP: Data?

- 1 Estimate, for each EMU country, the interest rate $\{i_t\}$ implied by a simple Taylor rule before 2009

$$i_t^{\text{implied}} = \alpha_0 i_{t-1} + \alpha_1 \tilde{\pi}_{t-1} + \alpha_2 \tilde{y}_{t-1} + \epsilon_t \quad (2.1)$$

where α_1, α_2 could be the "standard" used in the literature, or estimated for the EMU

- 2 Construct the difference

$$\hat{i}_t = i_t - i_t^{\text{implied}} \quad (2.2)$$

- 3 Estimate the following relation in a panel set-up using data for all EMU countries during and after the crisis

$$\begin{aligned} \Delta y_{c,t} &= \alpha_c + \beta \hat{i}_t + u_{c,t} \\ \hat{i}_t &= \alpha_c + \gamma \text{spr}_{i,t-1} + v_{c,t} \end{aligned}$$

Coordination in Equilibrium?

- 1 In the model, countries within H and F are atomistic: coordination allows to strategically influence aggregate prices.
- 2 However: there is an interesting **sequential / Stackelberg type of game** to be played by similar countries **within** H
- 3 Assume country H_1 and H_2 both borrow from the same set of F countries:
 - Linked by the same pricing kernel $\beta \frac{c_{T,F,1}}{c_{T,F,2}}$
 - Borrowing / default decisions of H_1 affect pricing schedule of bonds of H_2 .
 - Co-movements in spreads
- 4 Is **coordination a SPE**?
- 5 A source of **multiple equilibria**?

Some "unfair" comments

- 1 Currently, exogenous default costs: Would the nature of the equilibrium change if these are endogenous?
- 2 **Nominal** risky asset: would this tilt the preferences for MP stance?
- 3 More about the **equilibrium path**

Overall

- Tackles a series of questions both intellectually interesting and very policy-relevant
- Pushes the frontier in a clear way
- Infinite horizon could be a nightmare... But worth giving it a shot!
- Probably still in the transition to a completed paper